

Module 1

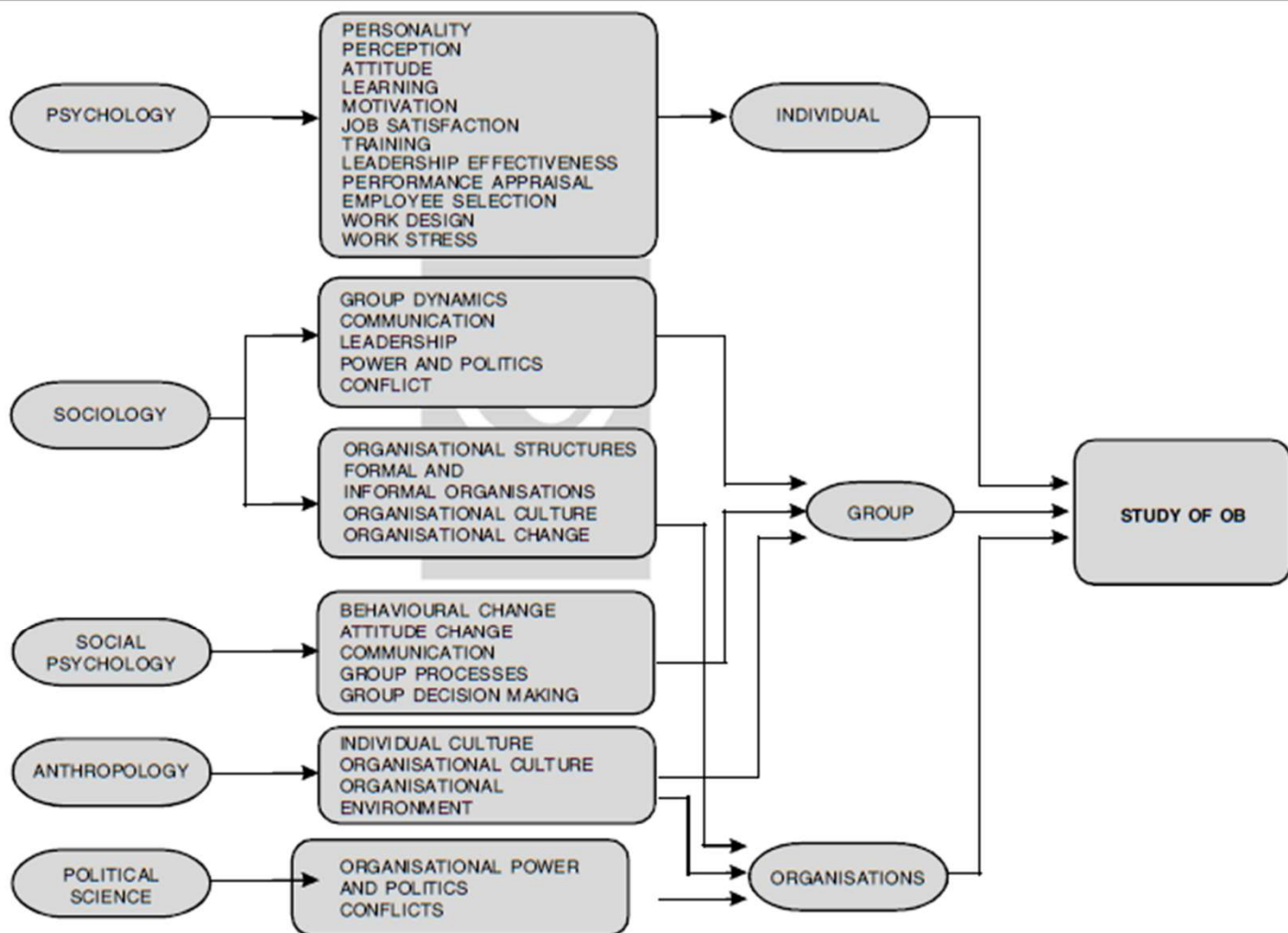
ORGANIZATIONAL BEHAVIOUR



WHAT is ORGANIZATIONAL BEHAVIOUR?

- Organizational Behaviour (OB) is the study of how individuals, groups, and structures influence behavior within organizations. It focuses on understanding and managing human interactions to improve organizational effectiveness.
- OB is the study of how people interact within groups in a workplace. It looks at how employees behave, what motivates them, and how their actions affect the company's success. By understanding these patterns, managers can improve teamwork, communication, and overall efficiency.





CONTRIBUTION OF VARIOUS FIELDS TO OB?

- **Psychology:** It is the study of behavior of animals and humans. Through such a study, psychology seeks to measure, explain and change behavior.
- **Sociology:** If psychology is the study of individual behavior, sociology addresses itself to the study of group behavior. It studies the behavior of people in relation to other humans.
- **Social Psychology:** This subject borrows concepts from both psychology and sociology. It focuses on the influence of people on one another
- **Anthropology:** It is the study of the human race, in particular, its culture. Culture has significant influence on human behaviour.

CONTRIBUTION OF VARIOUS FIELDS TO OB?

- **Engineering:** This discipline, too, has influenced OB. Industrial engineering, in particular, has long been concerned with work measurement, productivity measurement, workflow analysis and design, and labour relations.
- **Political Science:** Political scientists study the behaviors of individuals and groups within a political environment. Specific topics of concern to political scientists include conflict resolution, group coalition, allocation of power, and manipulation of power for their self interest.

SCOPE OF ORGANIZATIONAL BEHAVIOUR

OB mainly covers the following aspects, namely;

- Individual Behaviour
- Group Dynamics
- External Environment
- Organizational Structure.

SCOPE OF ORGANIZATIONAL BEHAVIOUR

1. Individual Behavior: Individual behaviour is covered under the scope of OB in the following way:

- **Personality and Traits:** Individual behaviour studies how unique characteristics like introvert and extrovert employees as well as emotional stability impact work performance and interactions.
- **Attitudes and Job Satisfaction:** It examines how employee attitudes towards their job, colleagues, and company affect motivation, productivity, and retention.
- **Perceptions and Cognitive Biases:** Understanding how employees perceive their environment and how cognitive biases influence their decisions and actions helps minimise misunderstandings and errors.
- **Motivation and Incentives:** This includes understanding what drives employees to perform well, such as intrinsic and extrinsic motivators, and how incentives can boost engagement and productivity.
- **Learning and Development:** It focuses on how individuals acquire new skills and knowledge and the impact of training programs on performance and career progression.

SCOPE OF ORGANIZATIONAL BEHAVIOUR

2. Group Dynamics: The scope of organizational behaviour includes group dynamics in the following way:

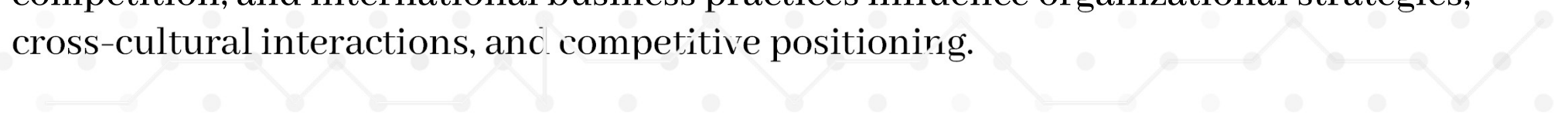
- Communication Patterns:** How information is shared within a team, the effectiveness of communication channels, and how clear & open communication leads to collaboration
 - Leadership Roles:** It examines different leadership styles within groups, how leaders influence group performance and the impact of leadership on team morale.
 - Team Cohesiveness:** Understanding what makes a team cohesive, including trust, shared goals, and mutual respect, and how cohesion affects productivity and job satisfaction.
 - Conflict Resolution:** It involves studying the sources of conflict in groups, managed, and strategies for resolving disputes to maintain a productive team environment.
 - Group Decision-Making:** Exploring how groups make decisions and how different perspectives lead to innovative solutions.
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SCOPE OF ORGANIZATIONAL BEHAVIOUR

3. External Environment: The external environment is under the scope of organizational behavior as mentioned below

- **Economic Conditions:** It is important to understand how factors like economic growth, inflation, and unemployment rates influence org. strategies, employee behavior.
- **Technological Advancements:** People must study the impact of new technologies on work processes, and employee skills requirements
- **Social Trends and Demographics:** How changes in societal values, cultural trends, and workforce affect org. policies, diversity initiatives, and employee expectations.
- **Regulatory Changes:** The impact of laws and regulations on organizational operations and compliance requirements must be understood. It is also important to understand how companies adapt to new legal standards.

Globalization and Competition: It is essential to understand how global market trends, competition, and international business practices influence organizational strategies, cross-cultural interactions, and competitive positioning.

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SCOPE OF ORGANIZATIONAL BEHAVIOUR

4. **Organizational Structure:** Organizational structure comes under the scope of organizational behaviour in the below-mentioned manner:
- **Hierarchy and Authority:** How different levels of authority and clear hierarchical structures influence employee behaviour and decision-making efficiency.
 - **Role Clarity and Responsibilities:** It is necessary to understand the importance of well-defined roles and responsibilities in reducing ambiguity and enhancing performance.
 - **Types of Organizational Structures:** Structures like flat, hierarchical, and matrix organizations, and their impact on communication, collaboration, and flexibility.
 - **Workflow and Coordination:** Studying how organizational structure affects workflow, the ease of coordination between departments, and the overall efficiency of processes.
 - **Adaptability and Change Management:** Exploring how different structures support or hinder the organization's ability to adapt to changes and implement new strategies or technologies effectively.

NATURE OF ORGANIZATIONAL BEHAVIOUR?

OB is a part of general management and not the whole of management. It represents behavioural approach to management.

2. OB contains a body of research and application associated with a growing concern for people. It helps in understanding human behaviour in work organizations.
3. OB is a human tool for human benefit. It helps in predicting behaviour of people.
4. OB is inter-disciplinary field of study. It tries to synthesize knowledge drawn from various behavioural and social sciences such as Psychology, Sociology, Anthropology, Political-science, Economics, etc.
5. OB involves three levels of analysis of behaviour-individual behaviour, group behaviour and behaviour of the organization itself.
6. OB is an action-oriented and goal-directed discipline. It provides a rational thinking about people and their behavior
7. OB is both a science and an art.
8. OB seeks to fulfil both employees' needs and organizational objectives.

IMPORTANCE OF STUDYING OB?

1. It builds better relationship by achieving, people, organizational, and social objectives.
2. It covers a wide array of human resource like Behavior, training and development, change management, leadership, teams etc.
3. It brings coordination which is the essence of management.
4. It improves goodwill of the organization.
5. It helps to achieve objectives quickly.
6. It makes optimum utilization of resources.
7. It facilitates motivation.
8. It leads to higher efficiency.
9. It improves relations in the organization.
10. It is multidisciplinary in the sense that applies different techniques, methods, and theories to evaluate the performances.



HISTORICAL DEVELOPMENT OF ORGANISATIONAL BEHAVIOUR

EARLY INFLUENCES ON OB

1. Pre-Industrial Revolution (Before 1750)

Before the Industrial Revolution, work was primarily agrarian, and small-scale craft production dominated economies. Work arrangements were informal, and there was little structured management or study of behavior in work settings.

2. Industrial Revolution (1750–1900)

The shift from agrarian economies to industrial production led to the rise of large factories. This era introduced mass production, mechanization, and wage labor, creating new challenges in worker efficiency, motivation, and management. Early thinkers sought ways to improve productivity and labor relations.



EARLY INFLUENCES ON OB

CLASSIFICATION MANAGEMENT THEORIES

3. Scientific Management (Late 19th - Early 20th Century)

Frederick Winslow Taylor (1856–1915) pioneered Scientific Management, emphasizing efficiency and productivity.

Key principles include:

Time and motion studies to optimize tasks

Standardization of work procedures

Differential piece-rate pay system

Training workers for maximum efficiency

Taylor's approach led to increased efficiency but was criticized for treating workers as machines and ignoring human needs.



EARLY INFLUENCES ON OB

4. Bureaucratic Management (Early 20th Century)

Max Weber (1864–1920) developed the Bureaucratic Management Theory, focusing on:
Hierarchical structure and clear authority

Formal rules and procedures

Impersonality in decision-making

Merit-based career progression

This approach enhanced organizational efficiency but was criticized for rigidity and resistance to change.

5. Administrative Management (Early 20th Century)

Henri Fayol (1841–1925) introduced Administrative Management principles, including:
Planning, Organizing, Leading, and Controlling (POLC framework)

Division of labor, authority, and discipline

Unity of command and centralization

Fayol's contributions remain foundational in modern management education.

EARLY INFLUENCES ON OB

The Human Relations Movement

6. Hawthorne Studies (1920s–1930s)

Conducted by **Elton Mayo** and his team at Western Electric's Hawthorne Plant.

Found that social and psychological factors impact productivity more than physical conditions or financial incentives.

Introduced the concept of **informal groups** and **employee satisfaction** as crucial to performance.

7. Maslow's Hierarchy of Needs (1943)

Abraham Maslow proposed a theory of human motivation, suggesting individuals have hierarchical needs: Physiological, Safety, Social, Esteem, Self-actualization

This theory influenced organizational practices in employee motivation and job design.

EARLY INFLUENCES ON OB

8. McGregor's Theory X and Theory Y (1960)

Douglas McGregor identified two contrasting views of workers:

Theory X: Assumes employees are lazy, require supervision, and avoid responsibility.

Theory Y: Assumes employees are self-motivated, enjoy work, and seek responsibility.

His work shifted management thinking towards empowerment and participative leadership.

Modern Approaches to Organizational Behavior

9. Behavioral Science Approach (1950s–1970s)

Applied psychology, sociology, and anthropology to understand human behavior in organizations.

Herzberg's Two-Factor Theory (Motivators and Hygiene Factors)

McClelland's Theory of Needs (Achievement, Power, Affiliation)

Vroom's Expectancy Theory (Motivation based on expected outcomes)

EARLY INFLUENCES ON OB

10. Contingency Theory (1970s–1980s)

Proposed that no single management style is best; effectiveness depends on the situation.

Fiedler's Contingency Model (Leadership effectiveness depends on task structure and leader-member relations)

Burns & Stalker's Mechanistic vs. Organic Structures

11. Systems Theory (1970s)

Ludwig von Bertalanffy introduced Systems Theory, viewing organizations as open systems interacting with their environment.

Emphasized interdependence and feedback loops in decision-making.

EARLY INFLUENCES ON OB

12. Organizational Culture and Leadership (1980s–1990s)

Edgar Schein explored corporate culture, highlighting its role in shaping employee behavior.

Transformational Leadership (Burns & Bass) focused on visionary leadership and employee inspiration.

13. Contemporary Organizational Behavior (2000s–Present)

Emphasis on diversity and inclusion, employee engagement, psychological safety, and work-life balance.

Influence of technology and remote work on organizational behavior.

Rise of emotional intelligence (Daniel Goleman) and positive organizational behavior (Martin Seligman).



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Thank
you